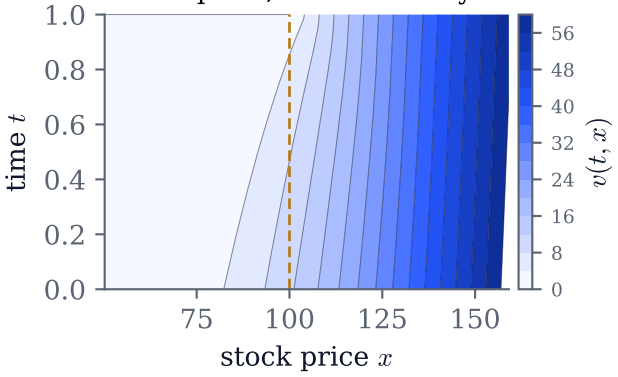
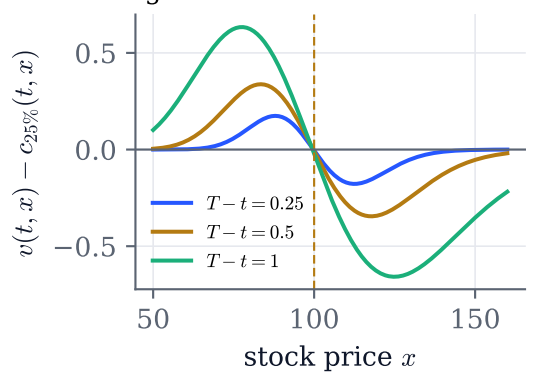

call price, local volatility
time t
stock price x
$v(t,x)$
1.0
0.8
0.6
0.4
0.2
0.0
75
100
125
150
56
48
40
32
24
16
8
0


against Black–Scholes at 25%
$v(t,x) - c_{25\%}(t,x)$
stock price x
$T-t=0.25$
$T-t=0.5$
$T-t=1$
0.5
0.0
−0.5
50
100
150